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2025J.P. Morgan Asset and Wealth Management Challenge

Group: Momentum

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2025.8.17

Agenda

- Client Profiles and Needs
- Macro Themes
- Our Investment Strategies for You
  1. Fixed Income Investments
  2. Equity Investments
  3. Alternatives Investments
- Risk Management
- Sources

Client Profile and Needs

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Client Details

Jessica

Age:50

Nationality:Singaporean

CEO of QuantumNet.AI

$100 million as principal

$200 million in company stock

(Not for short-term sale)

Husband: Alex (Age 53)

Children: Lucas (Age 22)

Mia (Age 18)

Sensitive to market fluctuations

Expect to withstand economic downturns

Core Needs

Basic Expense

Cover Annual Expense + Charitable giving: $600k/year

(Expected to increase due to Tuition for Children)

Legacy

Endowment to Children: $10mn/child in 8 years & 12 years

Investment

Consistent income + moderate capital appreciation

Targeting 6% Annualized Returns with 10 - 15% Volatility

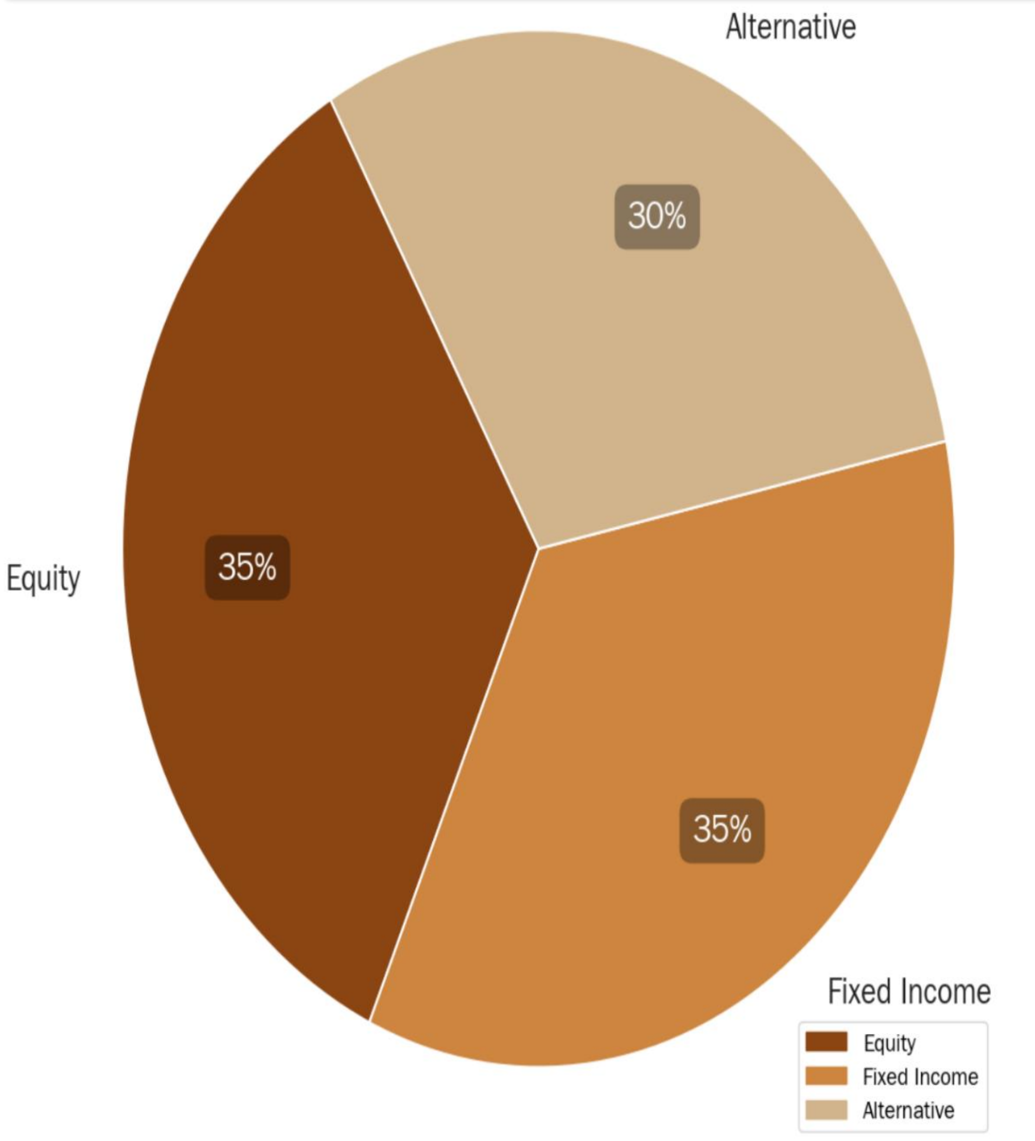
ESG Orientation

Strong interest in sustainable investing

Solution

- Diversification across regions, sectors, and asset types
- High fixed income weighting offsets equity swings
- Inflation hedges and growth assets

Stratagic Asset Allocation



PORTFOLIO STATISTICS

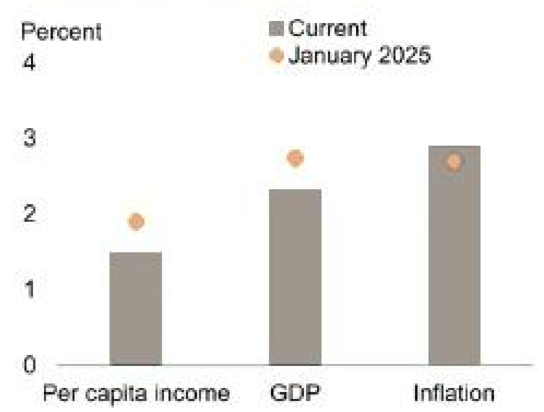
ANNUALIZED RETURN = 6.9%

ANNUALIZED VOLATILITY = 12.86%

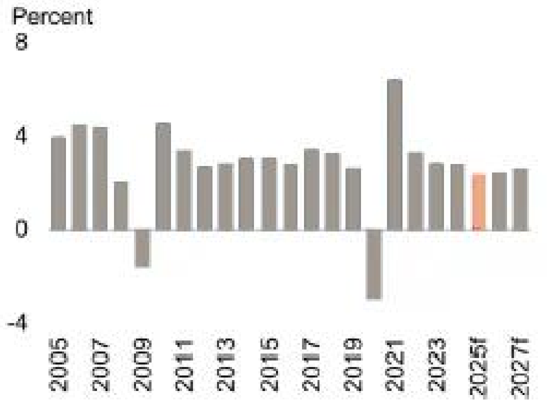
The global market is shifting from an 'anti-involution' to a 'more balanced' supply-demand framework, with AI technology driving asset allocation. Overall market analysis aids in accurate fundamental judgments.

1 Status of global economic growth.

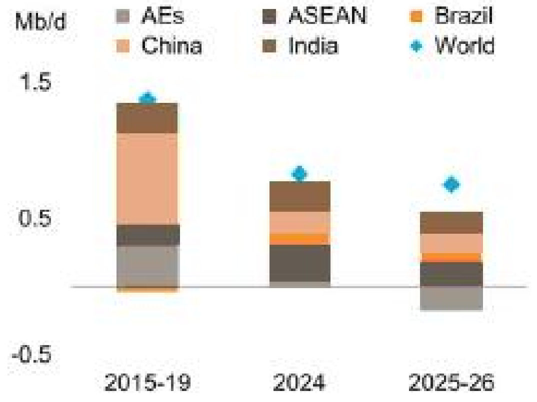
Global growth, per capita income growth, and inflation in 2025



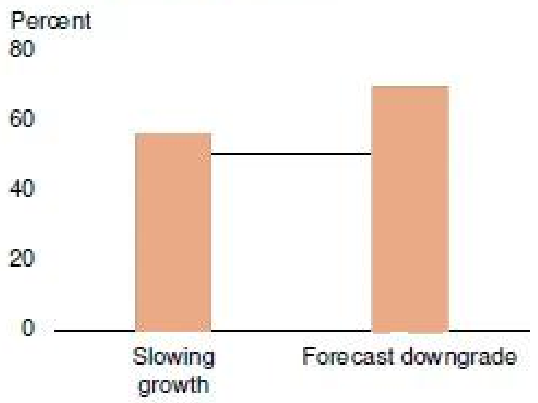
Global output growth



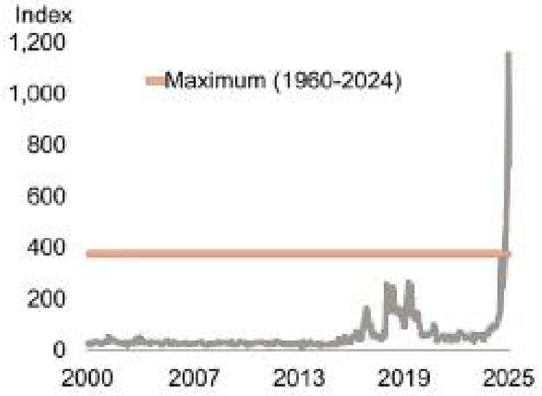
Change in global oil demand



Share of economies with slowing/ downgraded growth in 2025



Global trade policy uncertainty



Equity market volatility and EMDE bond spreads

1.Conclusion: 2025 projections show lower income/GDP growth but higher inflation vs January forecasts.
2.Conclusion: Global output growth fluctuated 2005–2027 with notable dips.
3.Conclusion: Many economies face slowing growth or downgrades in 2025.
4.Conclusion: Global trade policy uncertainty spiked beyond 1960–2024 peaks.
5.Conclusion: Global oil demand shifted across regions 2015–19 to 2025–26.
6.Conclusion: VIX volatility and EMDE bond spreads fluctuated with correlation Jan–May.

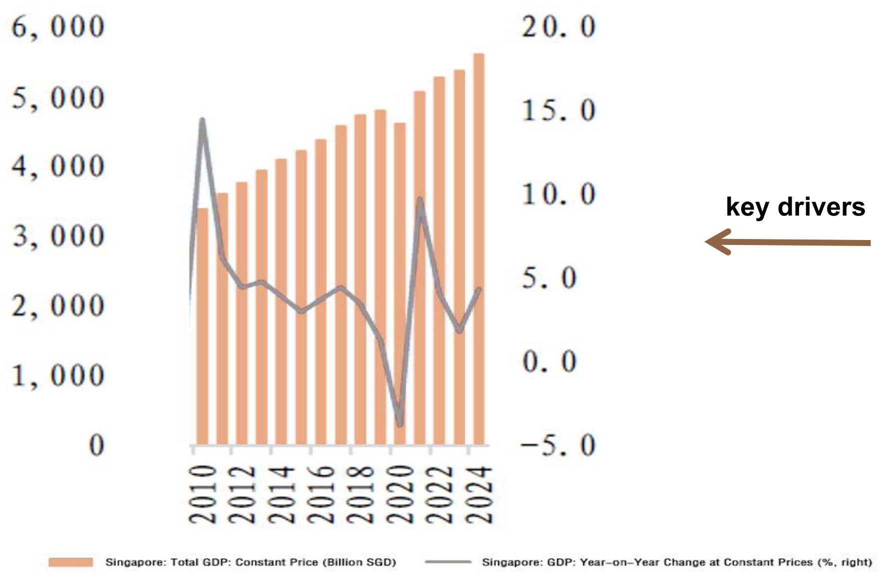
Global economic growth in 2025 will be at its lowest level in recent years, mainly dragged down by increased trade barriers, rising policy uncertainty and weak external demand. The recovery in 2026-2027 is also expected to be sluggish, with an average annual growth rate of only 2.5%

In terms of economic types, developed economies are expected to grow by 1.2% in 2025, while the growth rates of the United States, the euro area, and Japan are all lower than potential levels. The growth rate of EMDEs has also declined significantly compared with 2010-2019.

2 The economic growth situation in Singapore

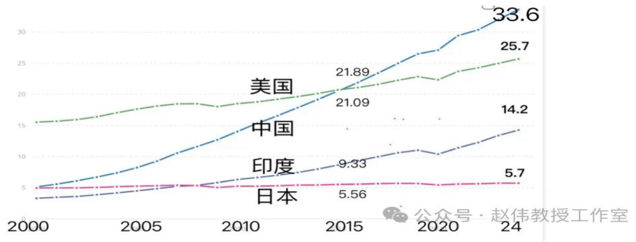
2.1 Singapore's economic growth: Singapore's economy grew moderately in 2025, but faced external uncertainties, with services and manufacturing as highlights

Changes in Singapore's economic aggregate and growth rate



key drivers

drivers 1： Singapore Innovation Investment

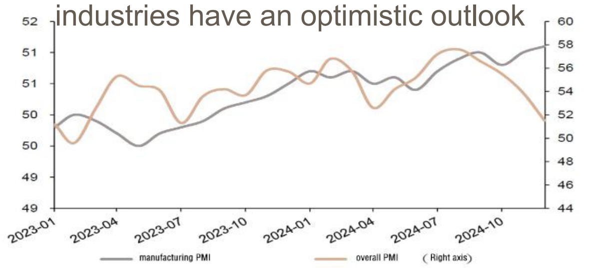


drivers 2： Global economic recovery (especially in China and the United States)

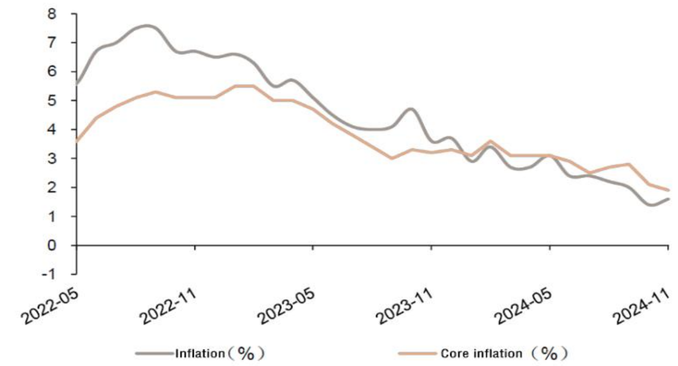
Conclusion: GDP growth > 3% increase in stocks and reduce holdings of defensive assets

2.2 Singapore inflation: Falling from 2024 highs but still above pre-pandemic, there is a chance to continue to decline in the future

Singapore's manufacturing and service industries have an optimistic outlook



Singapore's inflation problem has been effectively controlled



key drivers

Drivers 1: Singapore's manufacturing and service industry has good development prospects

The proportion of imports and exports of Singapore's major exporting countries (regions) in 2024

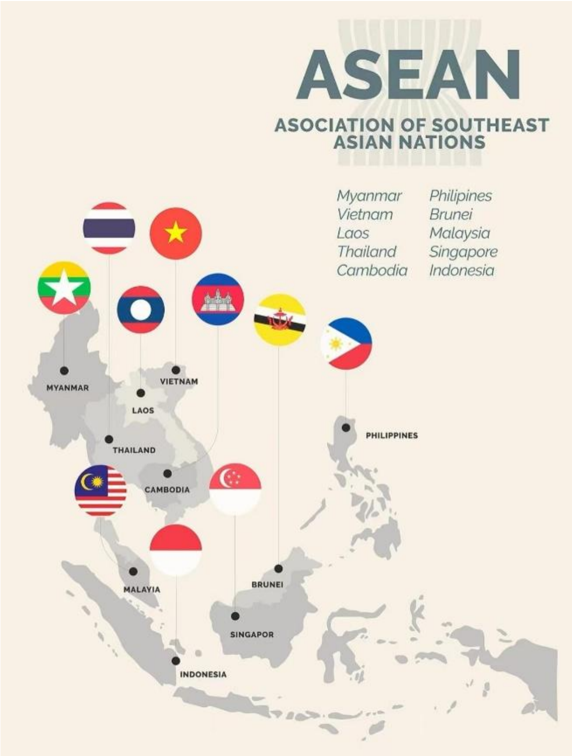
Conclusion: Inflation < 2%, consider growth stocks

drivers2: trade surplus and foreign population

Sources: Caldara et al.(2020); Haver Analytics; International Energy Agency (IEA);J.P. Morgan; UN World Population Prospects; World Bank.

Excess returns are difficult to achieve, but the core ability of asset management practitioners lies in insight into the core needs of users and clever allocation of risks.

◆ Geographical location and global connectivity



- ASEAN central hub with a 7-hour flight circle covering major Asian economies.
- The world's top ports/airports (Changi Airport, Singapore Port), key nodes of global trade.

◆ Authoritative Research Support

- **28,000+ In** - depth Annual Reports (Covering 190+ Markets)
- **40 - year** Global Asset Allocation Model (LTCMA Scientific Framework)
- **2025 Core Trend Bets**: AI Capability/Energy Transformation/Defensive Assets

◆ Provide Three Major Allocation Principlesplaintext

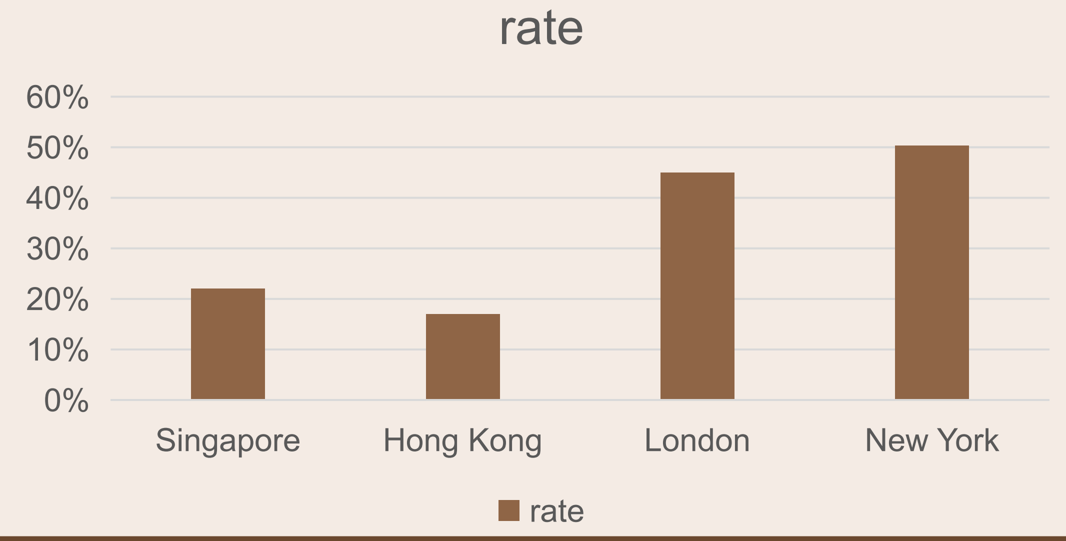
Morgan Stanley's Core Methodology

[Scientific Model Driven] → [Scientific Model Driven] → [Dynamic Anticipation]

This time, it adapts to the Singapore market → integrates client needs → strengthens risk hedging

◆ Tax-friendly policies

- Corporate income tax rate of 17%, no capital gains tax, no inheritance tax
- Signed tax treaties with 80 countries to reduce cross-border investment costs



◆ Robust legal and regulatory environment

- Common law system, world-leading contract enforcement, strong investor protection
- Free flow of foreign exchange with no capital controls (only cross-border financing above S$5 million needs to be declared)

◆ Financial center status

- Asia's largest private banking center, with 40 of the world's top asset management institutions headquartered in the Asia-Pacific region
- The SGD exchange rate is stable, and MAS policies are flexible in response to global fluctuations

◆ Data and innovation support

- The Personal Data Protection Act is compliant and transparent in compliance with the GDPR
- Government subsidies for technology/green investment (e.g. Research, Innovation & Enterprise 2025 Plan)

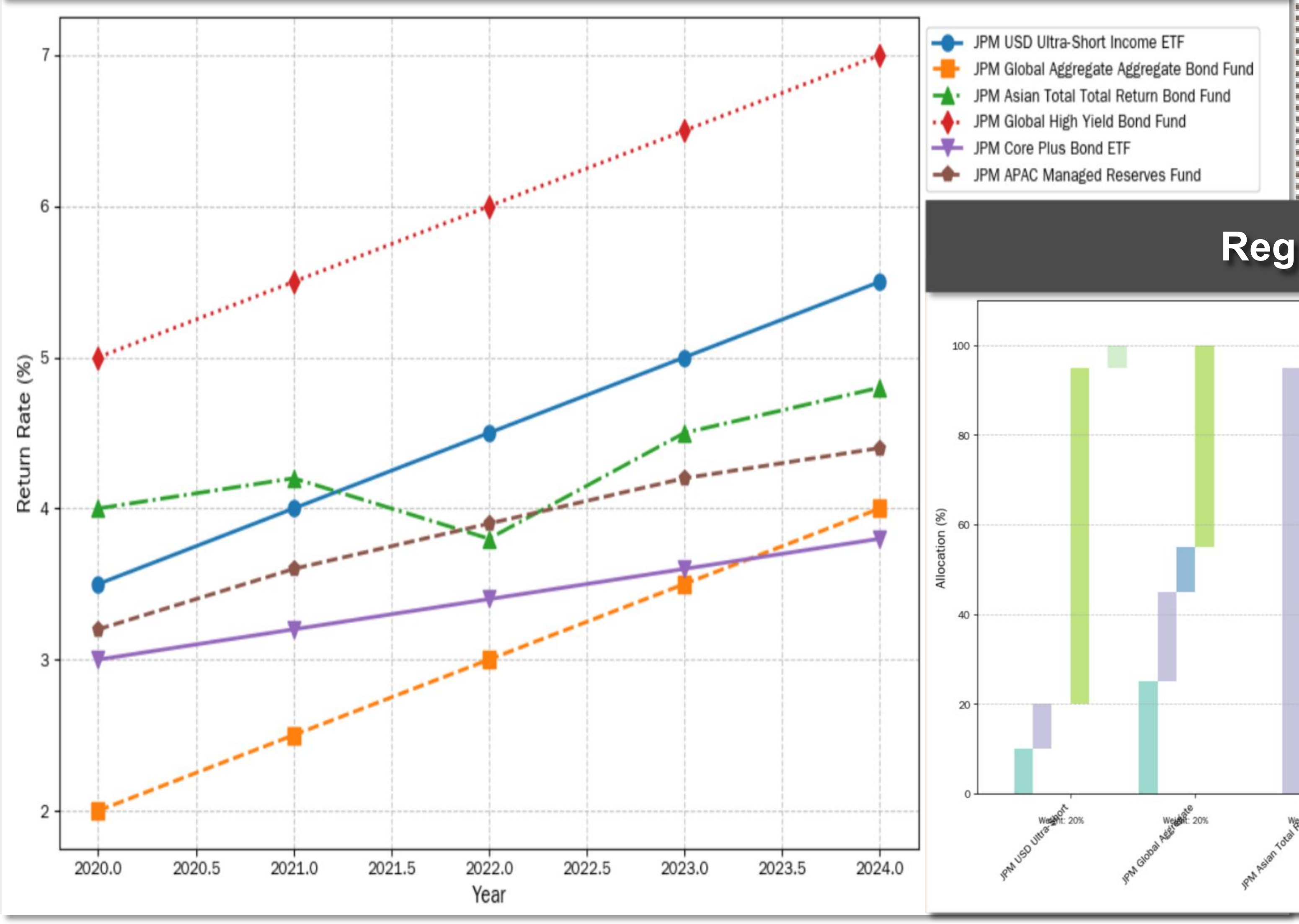
JPM configuration convention and the configuration logic of this project

Configuration Logic of This Projectplaintext
Objective - Oriented Layering:Short - term High Return: 30% Wind - themed Technology Funds (focusing on AI, Southeast Asian technology) [For example: https://stock.zmt. finance.sina.com.cn/stock/2024 - 12 - 27/doc - ineavfqm6538921.shtml]
Medium - term Steadiness: 50% Multi - asset Combination [Singapore REITs (20%); Global Investment - grade Bonds (30%)]
Long - term Inheritance: 20% Tax - exempt Structure → Family Trust + Insurance Combination (no capital gains tax/inheritance tax in Singapore)
Single - risk Hedging Design
Allocate 5% of this project's total assets to H Shares (the law of scattered iron for HSBC) [https://finance.ifeng.com/money/fund/20250728/6257997.shtml]
Allocate 6% Gold ETF (geopolitical risk hedging tool) [7] (https://xueqiu.com/2587343781/2561333330)

Fixed Income Investments

Fixed Income	Percentage in Fixed Income	Percentage in Alloctaion
JPM USD Ultra - Short Income ETF	20%	7%
JPM APAC Managed Reserves Fund	10%	3.5%
JPM Global Aggregate Bond Fund	20%	7%
JPM Asian Total Return Bond Fund	20%	7%
JPM Global High Yield Bond Fund	15%	5.25%
JPM Core Plus Bond ETF	15%	5.25%
Total	100%	35%

Fixed Income Funds Return Trends（2020-2024）



Short - Term Liquidity: Swift Fund Access

- JPM USD Ultra - Short Income ETF :It ensures quick cash availability and offers high liquidity and stable returns, vital in uncertain markets for immediate expenses.
- JPM APAC Managed Reserves Fund :Caters to Asia - Pacific's unique market, facilitating regional fund management.

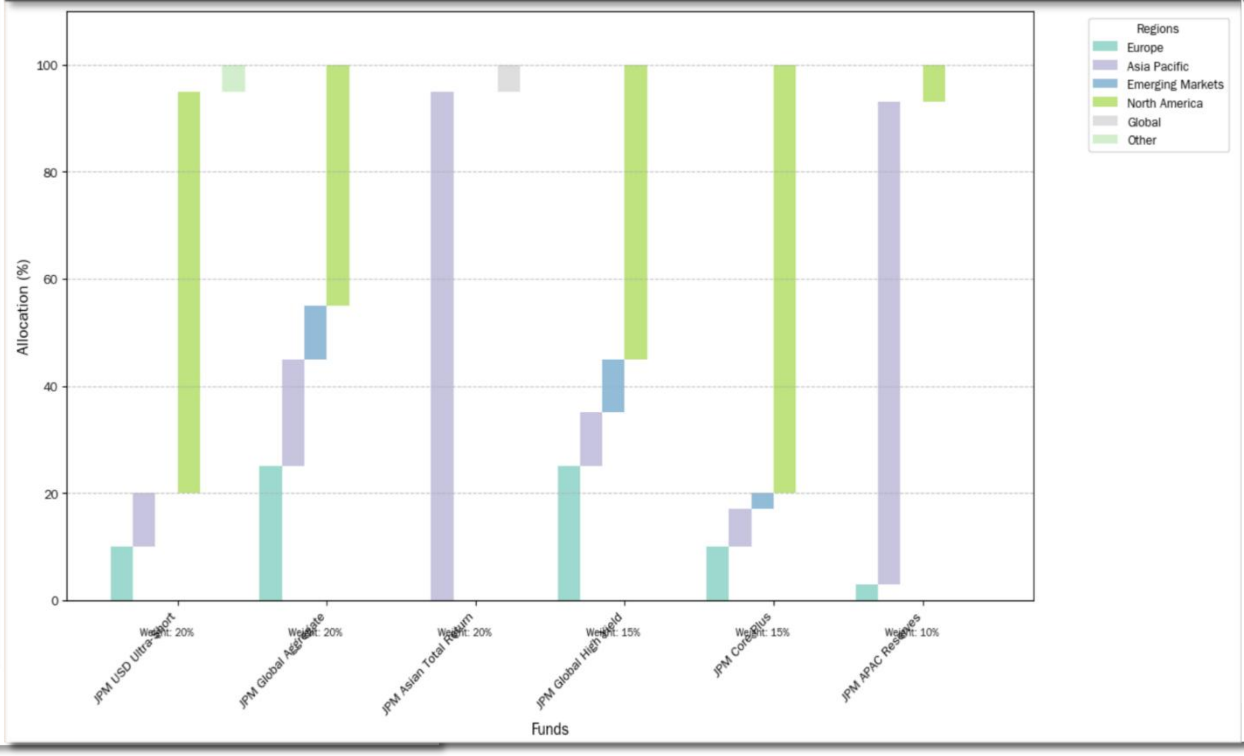
Return Boost: Higher Yield Pursuit

- JPM Global High Yield Bond Fund : It aims to lift overall returns , offers high interest but diversifies issuer risks.
- JPM Core Plus Bond ETF : Combines core bond stability with flexible strategies for enhanced returns.

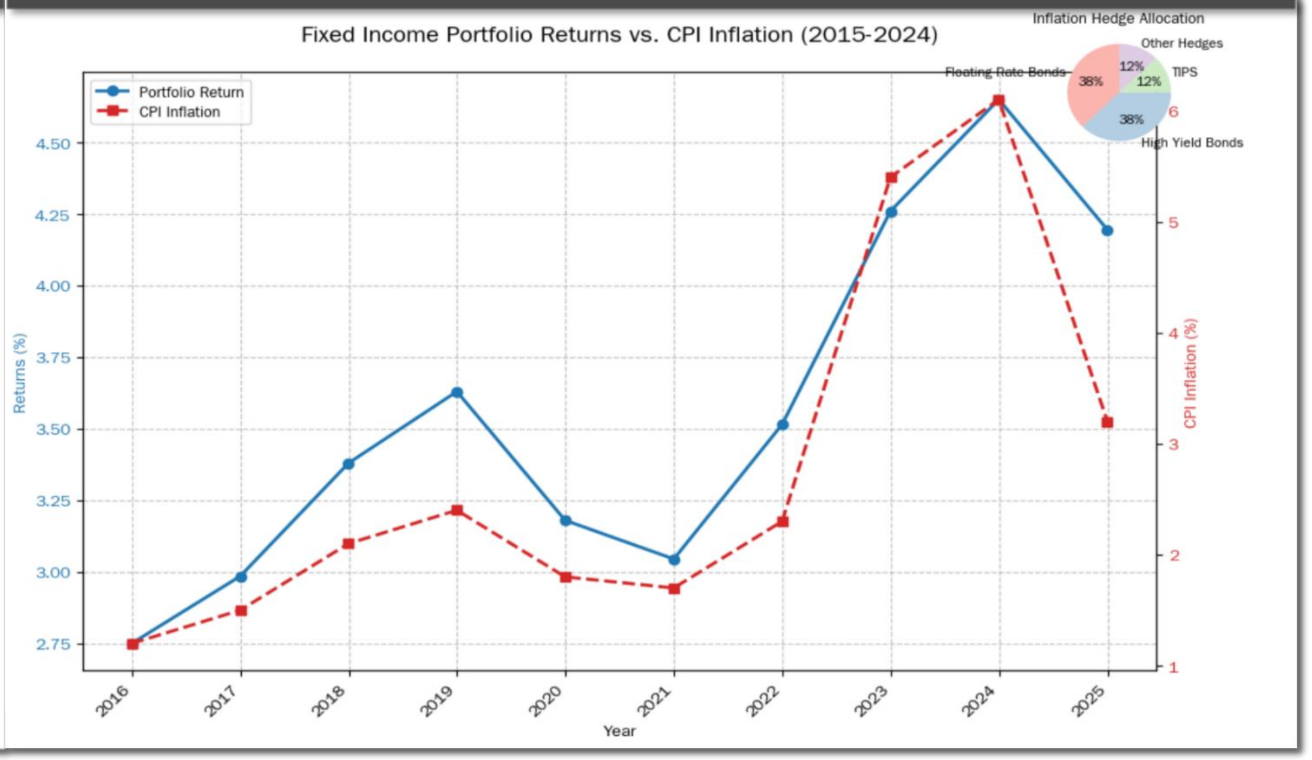
Stable Returns & Risk Spread: Portfolio Resilience

- JPM Global Aggregate Bond Fund : Diversifies globally across government and high - rated corporate bonds, reducing single - market risks.
- JPM Asian Total Return Bond Fund : Taps into Asia's growth potential and low correlation with other markets for better risk - return.

Regional Allocation



Portfolio Returns vs. CPI Inflation(2015-2024)



Equity Investments

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LONG-TERM (STRATEGIC)

Fixed Income	Percentage in Equity Investment	Percentage in Alloctaion	Return rate
JPM Global Equity Premium Income ETF	14.3%	5%	8.13%
Future Path 529 JPMorgan U.S. Sustainable Leaders Portfolio	11.4%	4%	7.83%
JPM Global Research Enhanced Index Equity ETF	8.6%	3%	24.15%
JPM Equity Premium ETF	8.6%	3%	8.13%
JPM Europe Dynamic Fund	11.4%	4%	30.72%
JPMorgan BetaBuilders Japan ETF	8.6%	3%	20.72%
JPMorgan BetaBuilders Developed Asia Pacific ex-Japan ETF	8.6%	3%	18.29%
JPMorgan BetaBuilders USD High Yield Corporate Bond ETF	5.7%	2%	7.59%
JPMorgan Active China ETF	5.7%	2%	20.35%
JPM Healthcare Leaders ETF	5.7%	2%	0.64%
JPMorgan U.S. Tech Leaders ETF	11.4%	4%	12.69%
Total	100%	35%	14.5%

Long-term

Long Term Objectives:

Capture **high-return** investment opportunities while **diversifying** out localized risk factors.

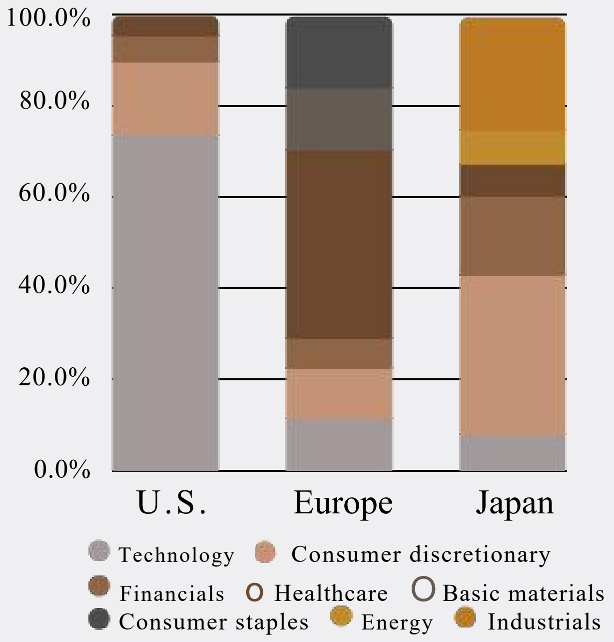
Thematics: Investment in varied thematics captures growth and increases diversification, including healthcare and technology

Regional Diversification:

Lowered EM equity return spread accompanied by DM growth

- Decreases sector concentration
- Mitigates the impact of geopolitical risk

Top 10 companies sector composition by region



US equity market concentration

Alternatives Investments

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Alternative	Tactical Allocation
Private Real Estate	9%
REITs	8%
Infrastructure	7%
Commercial	3%
Private Equity	3%
Total	30%

Risk Profile

1.Market Risk:
Affected by macro - economic fluctuations, interest rate changes, and industry competition. For example, interest rate hikes may put pressure on real estate and infrastructure investments.

2.Liquidity Risk
Private real estate and private equity have relatively long investment cycles and low liquidity. It may be difficult to withdraw funds in a short time, while the liquidity of REITs and gold ETFs is relatively high.

3.Sector - specific Risk
Infrastructure is affected by policy and technological changes in the energy sector; private equity is affected by the R & D progress and market acceptance of start - ups.

Total Return Outlook

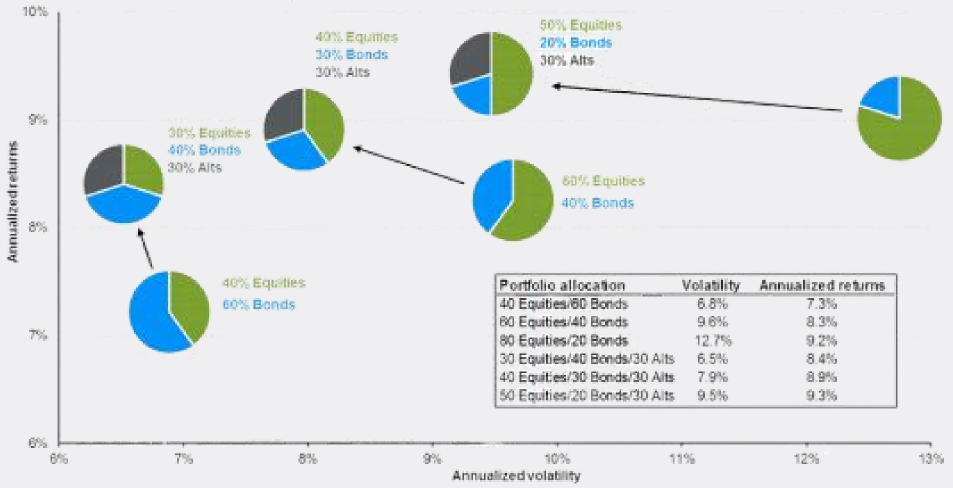
Driven by the logic of each asset class, the portfolio is expected to achieve an annualized return of 6%-8%

· Private real estate/REITs generate stable base returns (5-7%) through rental income and asset appreciation.
· Infrastructure/private equity, leveraging energy transition and tech-driven growth, boost flexible returns (7-10%).
· Gold-related assets hedge tail risks, smooth portfolio volatility, and contribute to preservation-oriented returns (4-6%).

Real assets	2025	2024
Private real estate equity (USD)		
U.S. core	8.1	7.5
U.S. value-added	10.1	9.7
European core	7.6	7.3
European value-added	9.7	9.2
Asia-Pacific core	8.1	8.7
REITs (USD)		
U.S. REITs	8.0	8.2
European REITs	8.7	9.7
Asia-Pacific REITs	7.8	8.7
Global REITs**	8.0	8.5
Commercial mortgage loans (USD)		
U.S.	6.4	6.3
Global infrastructure (USD)		
Core	6.3	6.8
Private equity (USD)†		
Cap-weighted composite	9.9	9.7

· Addition of alternatives to traditional 60/40 stock/bond portfolios can help manage risk and improve return.
· Return is higher and volatility is lower after we add alternatives.

Annualized portfolio volatility returns with/without alternatives (1989-2023)



Alternative Investments

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PRIVATE REAL ESTATE

Srategic Analysis

· High interest rates have depressed commercial real estate valuations, creating a favorable entry point.

· The yields of core real estate in the US and Europe have increased.

· Due to the stable rental income and asset preservation attributes, the returns of core assets can provide cash flow support and inflation - hedging capabilities during periods of inflation fluctuations.

Allocation Strategy

Allocate 9% to funds focusing on US multifamily/residential and European industrial real estate (e.g., Blackstone's US Core Plus fund), leveraging regional demand trends.

RETIs

Strategic Analysis

· REITs have diversified funding sources, which helps mitigate the negative impacts brought by high yields.

· REITs demonstrate strong cash flow - generating capabilities, good risk - resilience, healthy balance sheets, and leverage ratios below their long - term trend lines.

· By investing in REITs, one can obtain relatively stable dividend income, providing a continuous cash flow for the family to meet various expenses.

Allocation Strategy

① CapitaLand Integrated Commercial Trust

② iShares Core U.S. REIT ETF

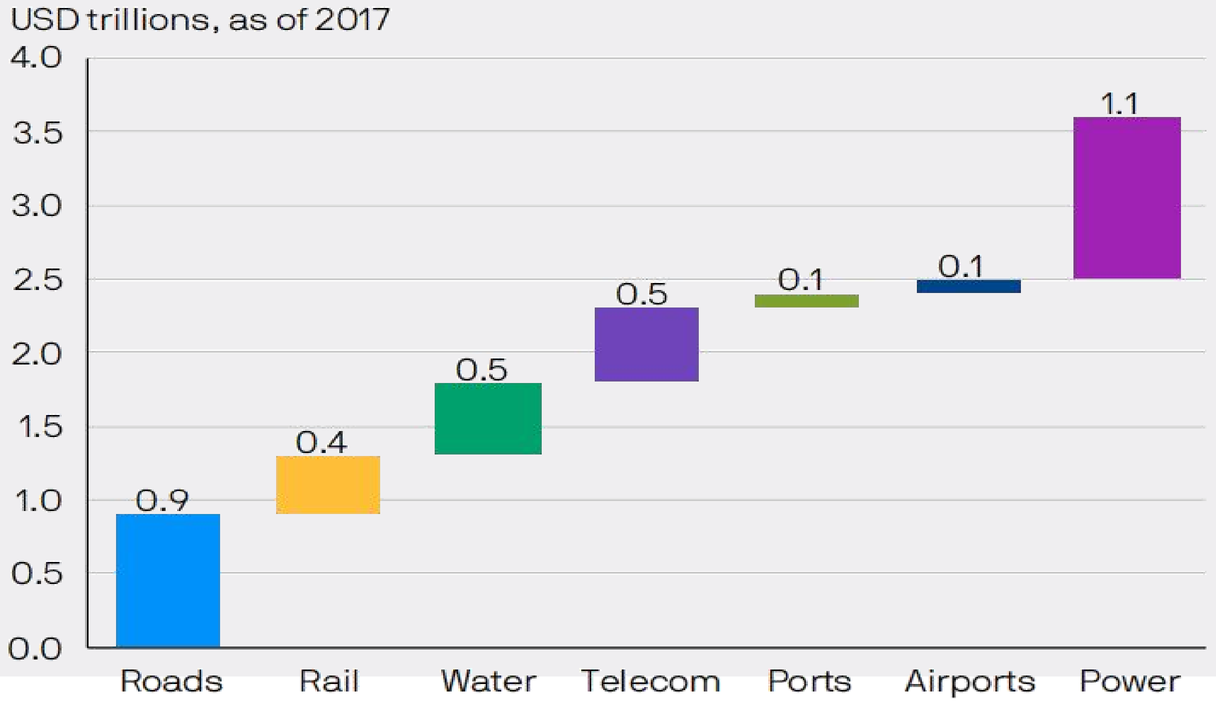
INFRASTRUCTURE

Srategic Analysis

·Energy transition and government spending (e.g., grid upgrades, renewables) drive demand for infrastructure assets. These investments offer long-term, inflation-linked cash flows with low correlation to broader markets.

·Green projects (wind, solar) align with Jessica's sustainability goals, while stable income matches her financial plan.

Allocation Strategy: Allocate 7% to green infrastructure funds , focusing on North American wind and European solar projects to capture energy transition trends.
First Sentier Global Listed Infrastructure Fund， BlackRock Global Renewable Power Fund III， Blackstone Green Private Credit Fund III



Alternatives Investments

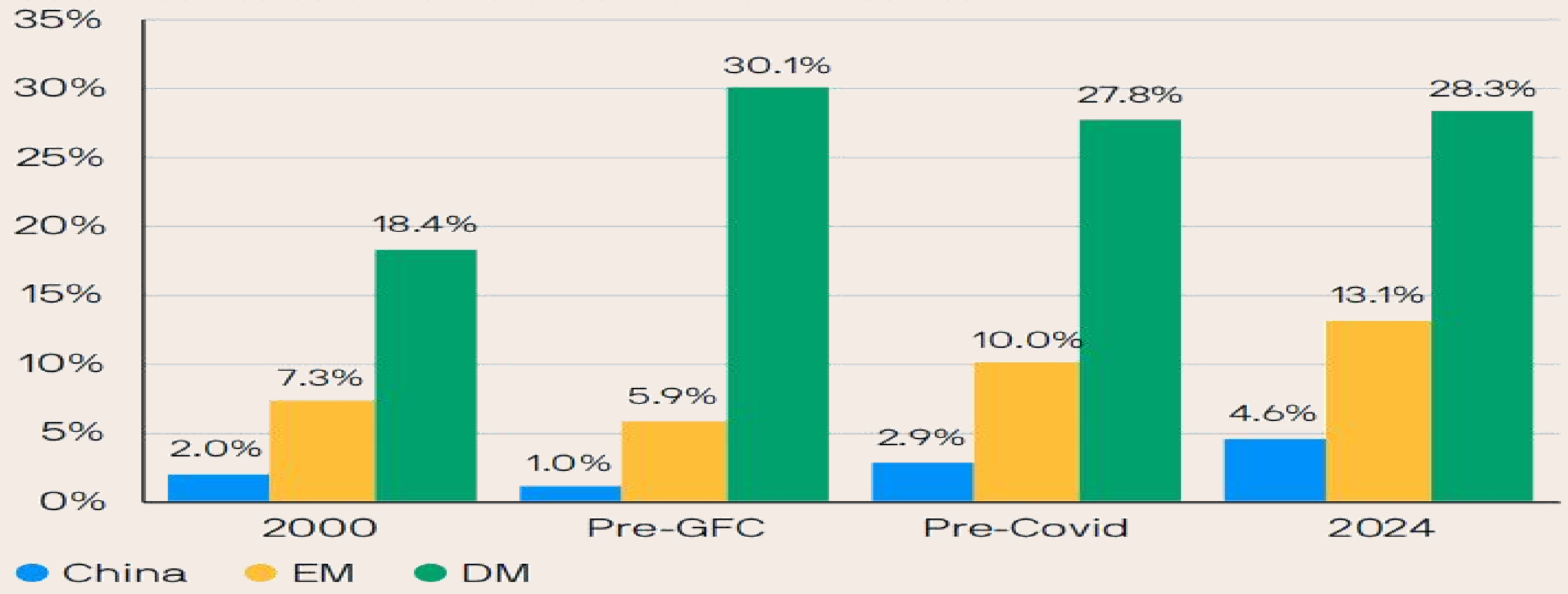
COMMERCIAL(GOLD)

Why Commercial?

1.Extreme Risk Hedging

Gold exhibits low correlation with equities and bonds (ranging from -0.1 to 0.1), acting as a hedge against downturns during geopolitical conflicts or economic crises.

Gold reserves as a% of total central bank reserves



2.Wealth Preservation

Central banks have maintained consistent gold purchases—with global acquisitions reaching 1,200 tons in 2024. Gold outperforms inflation over the long term , making it well-suited for intergenerational wealth transfer.

3.High Liquidity

Gold ETFs offer high liquidity for quick redemption, enabling timely access to funds to address unexpected expenses.

Allocation strategy

Allocate 3% to liquid gold ETFs

SPDR Gold Shares，Ishares Gold Trust

Private Equity (PE)

· **Invest in private equity strategies**

· **Earnings Potential**

Returns are expected to outperform the public stock market, especially for U.S. small - cap private equity. There is more room for valuation improvement and exit multiple expansion.

Focusing on technology/growth sectors plus positive yields → stronger alpha (α) generation.

· **Technology and Industry Trends**

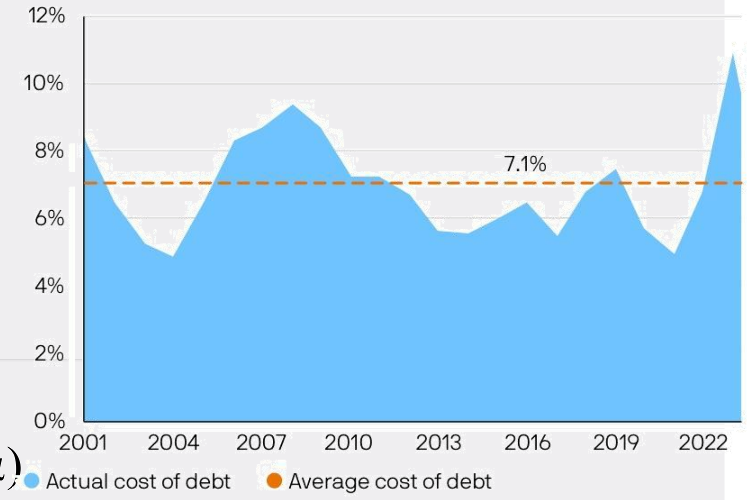
The rapid penetration of technology (especially AI) drives high - growth investment opportunities, matching private equity’s need to layout in innovative tracks.

· **Market and Strategy Adaptation**

The U.S. market, attractive for innovation/ growth, has become a private equity focus.

Flexible business models + resource - rich underlying assets → key drivers for alpha (α), helping to navigate through cycles.

Average yield to maturity for U.S. institutional leveraged buyout loans (all fund sizes)



How to allocate?

· Allocate 3% to small-cap PE funds targeting AI applications/clean tech , prioritizing managers with strong operational track records.

① StepStone Secondary Opportunities Fund V

② StepStone VC Secondaries Fund VI

③ CDIB NexGen Partners Fund

Risk Management

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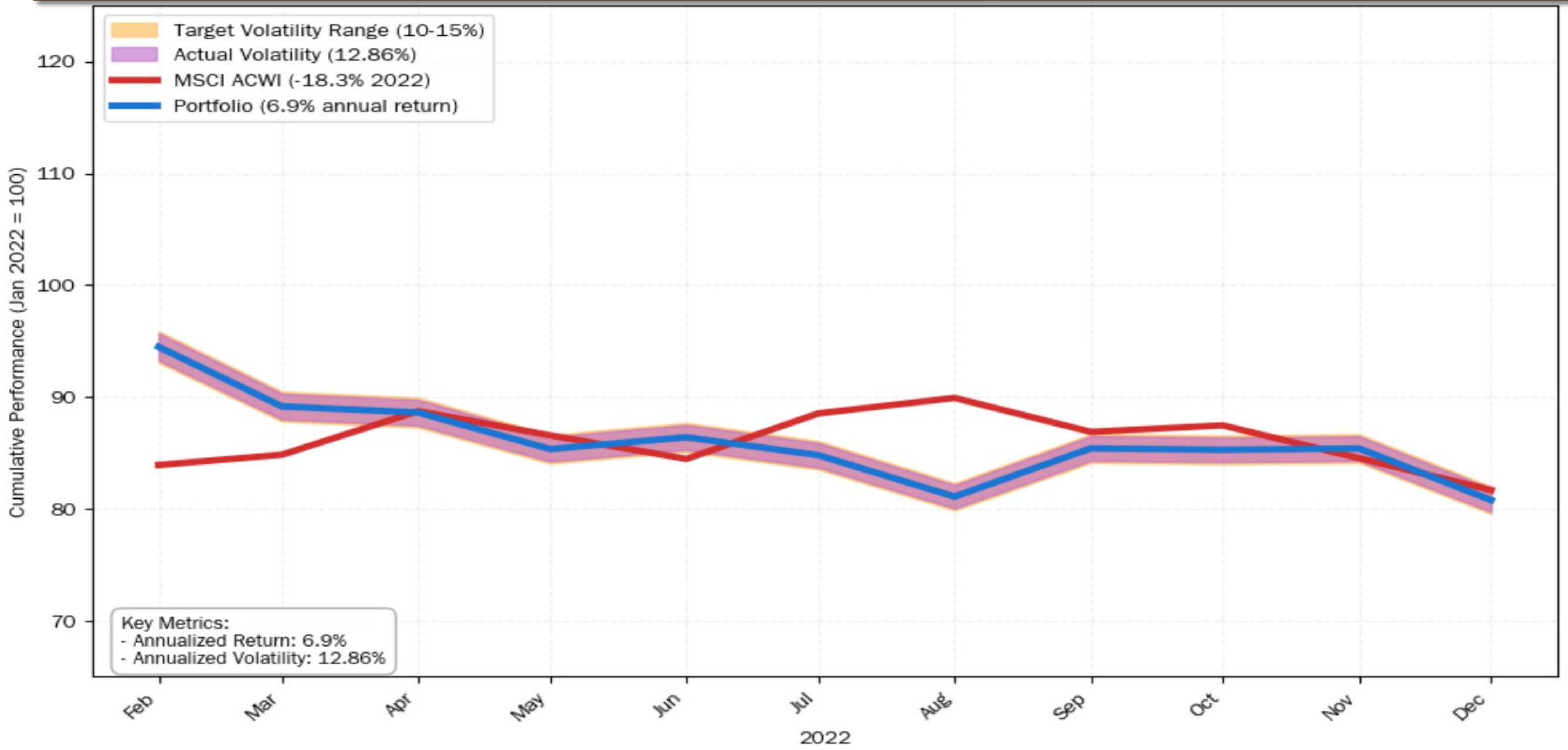
Risk Type	Exposure in Portfolio	Impact if Unmanaged
Market Risk	35% Equity (tech/healthcare) + 35% Fixed income	Fed rate hikes could drop bond prices ; tech sell - offs hit growth targets
Credit Risk	5.25% High - yield bonds (JPM Global High Yield)	Defaults reduce income ; 2022 saw 3.2% default rate in high - yield markets
Liquidity Risk	9% Private real estate + 4% Infrastructure funds	Could delay $10mn endowments if assets can't sell quickly
ESG Risk	4% Future Path 529 JPMorgan U.S. Sustainable Leaders Portfolio	Regulatory/consumer shifts could strand assets (e.g., coal - related bonds)

Performance Comparison in 2022 Extreme Market Conditions



Volatility Management

- Target Volatility Range (orange shaded area): Represents the predefined reasonable volatility range (10%–15%), reflecting the portfolio's risk control objectives.
- Actual Volatility Range (purple shaded area): Corresponds to the portfolio's 12.86% annualized volatility. It shows that actual fluctuations align closely with the target range, indicating that portfolio risk remained within expected and manageable levels.

Risk Management：ESG Analysis

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We ensure the long-term sustainability of your portfolio through ESG analysis and continuous rebalancing.

Environmental (E): Green Transition & Climate Resilience

Equity:

- ✓ Future Path 529 JPMorgan U.S. Sustainable Leaders Portfolio (4%): It likely mirrors the environmental focus of the JPM Global Sustainable Equity Fund, investing in U.S. companies with strong track records in reducing environmental footprints
- ✓ JPM Healthcare Leaders ETF (2%): Focuses on healthcare companies advancing sustainable medical practices (e.g., reducing pharmaceutical waste, green manufacturing).

Fixed Income:

- ✓ JPM Global Aggregate Bond Fund (7%): Classified as SFDR Article 8, it tilts toward green bonds (15% of holdings) and issuers with science - based carbon reduction targets .
- ✓ JPM USD Ultra - Short Income ETF (7%): Integrates ESG screening to exclude high - carbon industries, with 20% of assets in climate - aligned corporate bonds (e.g., utility companies transitioning to renewables) .

Alternative:

- ✓ BlackRock Global Renewable Power Fund III (2%): Directly invests in wind, solar, and storage projects, contributing to 500,000+ tons of annual carbon reduction.
- ✓ Capitaland Integrated Commercial Trust (4%): 80% of its properties hold LEED or BCA Green Mark certifications, cutting energy use by 25% vs. non - certified buildings.

Social (S): Stakeholder Impact & Community Value

Equity:

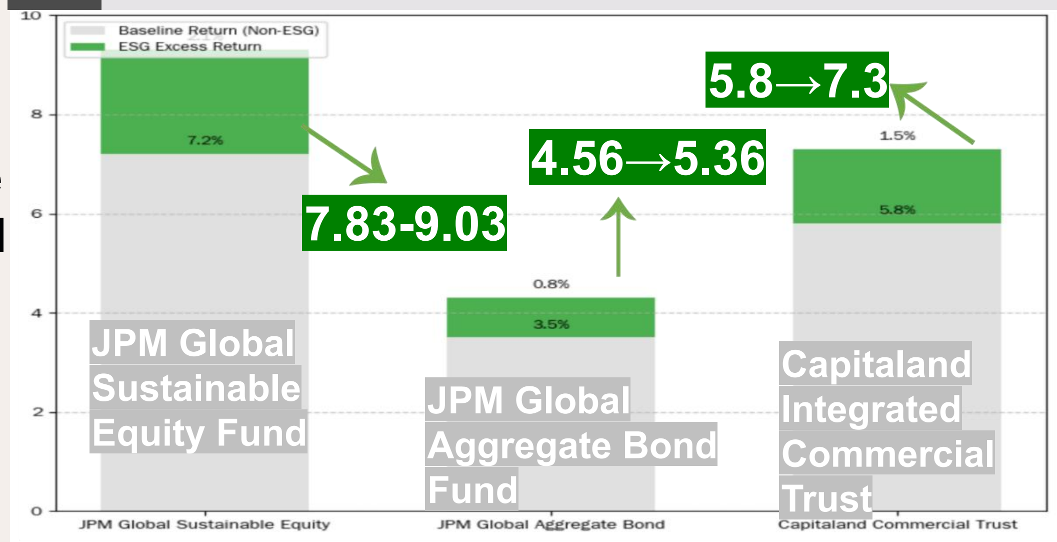
- ✓ JPM Europe Dynamic Fund (4%): Operating in the EU, it likely adheres to strict social standards (e.g., worker rights, diversity) mandated by regional regulations, aligning with the "best-in-class" ESG philosophy of prioritizing peer-leading social performance .

Fixed Income:

- ✓ JPM Asian Total Return Bond Fund (7%): Avoids issuers with history of labor disputes; 10% of holdings are social bonds funding affordable housing and education in Asia .

Alternative:

- ✓ iShares Core U.S. REIT ETF (4%): Invests in commercial properties with community - focused designs (e.g., mixed - use spaces with local small businesses) and tenant support programs (e.g., rent relief during crises).



Governance (G): Transparency & Ethical Practices

Equity:

- ✓ JPM Global Research Enhanced Index Equity ETF (3%): Tracks an index excluding companies with weak governance (e.g., lack of independent directors, history of financial misconduct).
- ✓ JPMorgan U.S. Tech Leaders ETF (4%): Tech leaders in this fund are likely held to high governance standards (e.g., data privacy, ethical AI use), aligning with the "superior governance" criteria highlighted in the JPM Global Sustainable Equity Fund’s methodology .

Fixed Income:

- ✓ JPM Global High Yield Bond Fund (5.25%): Integrates ESG into credit analysis, avoiding issuers with governance red flags (e.g., related - party transactions); 90% of holdings have board independence >50% .
- ✓ JPM Core Plus Bond ETF (5.25%): Selects corporate bonds from issuers with ESG - linked executive bonuses (e.g., 20% of CEO pay tied to diversity or ethics metrics).

Fund Managers:

- ✓ All JPMorgan and StepStone funds undergo annual ESG due diligence, ensuring alignment with anti - corruption policies and transparent reporting (e.g., JPM’s ESG funds publish quarterly impact reports).

Annualized Return Breakdown:
ESG vs. Baseline Performance
(Select representative funds)

Sources

- **2025 Long-Term Capital Market AssumptionsTime-tested projections to build stronger portfolios**

https://am.jpmorgan.com/hk/en/asset-management/adv/insights/portfolio-insights/ltcma/

- **2025 MID-YEAR OUTLOOK —— Comfortably Uncomfortable**

https://privatebank.jpmorgan.com/apac/en/insights/latest-and-featured/mid-year-outlookGuide to the Markets

- **Fund Explorer: J.P. Morgan Asset Management**

https://am.jpmorgan.com/lu/en/asset-management/per/funds/

- **Sustainable Investing**

https://am.jpmorgan.com/lu/en/asset-management/per/investment-themes/esg/

- **Demystifying ESG**

https://am.jpmorgan.com/lu/en/asset-management/per/investment themes/esg/demystifying-esg/